

SOP: Invoice Validation Against Contract

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Purpose

Defines how an invoice submitted against an existing contract should be validated before payment approval.

Procedure

Step 1 — Retrieve Governing Contract

Locate the original approved contract associated with the supplier and purchase/contract ID referenced on the invoice.

Step 2 — Field-Level Validation

Compare the invoice against the contract on: 1. **Supplier name and tax ID** — must match exactly. Mismatch = Fail. 2. **Invoice amount** — must not exceed contract value, and must not exceed remaining balance if partial payments have already occurred. Amount exceeding the 5% tolerance defined in Procurement Policy (POL-PROC-001) = Warning; amount exceeding total contract value = Fail. 3. **Payment schedule** — due date and milestone alignment with contract terms. Deviation = Warning. 4. **Deliverables referenced** — must correspond to deliverables defined in the contract scope of work. Unlisted deliverables = Warning, pending contract owner clarification. 5. **Contract validity period** — invoice date must fall within the contract's active start and end dates. Invoice outside this window = Fail.

Step 3 — Policy Cross-Check

Validate advance payment requests against Procurement Policy Section 3, and payment terms against Payment Policy (POL-PAY-003).

Step 4 — Historical Context

Check ServiceNow for prior incidents involving this supplier or contract (e.g., past overpayments, disputed invoices) to inform the reviewer's decision.

Step 5 — Report Generation

Produce a structured finding set (Pass / Warning / Fail per field) with citations to the specific contract clause and policy section used for each determination.